your urges, mental accounting could be the most effective way to plan your fixed mortgage payments, kids' education fund, and retirement savings. In order to eliminate the harmful effects of mental accounting while preserving its benefits you need to audit your own mental accounting system.

Plan of Action

To devise a plan of action you have to make two important assessments. First, this test will determine whether you are prone to mental accounting.

Imagine you are at the mall shopping for an expensive suit. In the first instance you have won Rs. 10,000 in a lottery. Will you use that money to buy that expensive suit? In the second instance, you discover that you have Rs. 10,000 in your savings account, a sum about which you had forgotten. Will you use that money to buy the expensive suit?

If your answer is yes to the first question and no to the second, like most people you are prone to mental accounting, meaning that you are prone to wasting money as you place different values on the same sum of money.

Secondly, you have to review your finances. Ask yourself:

- Have you set aside any savings for emergencies?
- Do you avail of revolving credit on your credit cards from one month to the next?

If your answer is yes to both questions, you are a victim of mental accounting. You stack away your emergency money at low interest rates and pay high interest on your credit card balance. You are earning around six per cent and paying around 15 per cent on credit card debits. Financially you would be much better off if you did not set aside any emergency savings but rather spent the money. This would grant a clean credit card record and a higher credit limit. In the case of an emergency, the credit card is always at your disposal. Making this change would make you richer by 9 per cent. The following suggestions will help you create your own action plan.